INTERNATIONAL MONETARY FUND

# CÔTE D'IVOIRE

May 11, 2023

## REQUESTS FOR AN EXTENDED ARRANGEMENT UNDER THE EXTENDED FUND FACILITY AND A 40-MONTH ARRANGEMENT UNDER THE EXTENDED CREDIT FACILITY—DEBT SUSTAINABILITY ANALYSIS[1]

Approved by
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Prepared by the International Monetary Fund and the International Development Association

| Côte d'Ivoire: Joint Bank-Fund Debt Sustainability Analysis | |
|---|---|
| **Risk of external debt distress** | Moderate |
| **Overall risk of debt distress** | Moderate |
| **Granularity in the risk rating** | Limited space to absorb shocks |
| **Application of judgement** | Yes |

*Côte d'Ivoire's overall and external public debt remain at moderate risk of debt distress. The external debt service-to-revenue indicator breaches twice the threshold, in 2024 and 2025, and remains below the threshold during the remainder of the projection period. The other projected external debt burden indicators are below their thresholds under the baseline. All indicators, except the PV of external debt-to-GDP are susceptible to a number of stress scenarios, the most extreme of which involves shock to exports. The PV of overall debt-to-GDP ratio is below its threshold, but exceeds it in number of stress scenarios, the most extreme of which involves commodity price shock. The impact of the deterioration in debt burden metrics is mitigated by the limited number of the breaches, Côte d'Ivoire's history of successful implementation of reforms under the past two Fund arrangements, and its strong track record of market access, sustained active debt management, and moderate risk signal from the market financing pressures tool. The space to absorb shocks remains limited.*

[1]Under the revised Debt Sustainability Framework for Low-Income Countries, Côte d'Ivoire's Composite Indicator (CI) is 2.94 based on the October 2022 WEO and the 2021 CPIA, corresponding to a medium debt carrying capacity.

# PUBLIC DEBT COVERAGE

**1. Public debt covers both the debt of the central government, as well as the guarantees provided by the central government, including those guarantees that pertain to state-owned enterprises (SOEs) debt** (Text Table 1). The DSA classifies external and domestic debt based on the currency criterion, given data constraints that prevent the use of the residency criterion.[2] The debt of local governments is excluded from the DSA coverage. Local governments are authorized to borrow within limits and under conditions set by decree. There is no available information on this debt. On SOE debt, the authorities continue to improve debt coverage and monitoring in past years. At end-2022, SOE guaranteed and non-guaranteed commercial debt amounted to respectively 1.3 and 0.7 percent of GDP. In the context of the current DSA, the following approach is taken:

- All *guaranteed* SOE debt and *on-lent* debt is included in the debt stock in the baseline.[3]
- N*on-guaranteed* SOE debt is captured as a contingent liability shock - this shock is set at the default 2 percent of GDP.[4]

**Text Table 1. Côte d'Ivoire: Coverage of Public Sector Debt**

| | Subsectors of the public sector | Check box |
|---|---|---|
| 1 | Central government | X |
| 2 | State and local government | |
| 3 | Other elements in the general government | |
| 4 | o/w: Social security fund | X |
| 5 | o/w: Extra budgetary funds (EBFs) | |
| 6 | Guarantees (to other entities in the public and private sector, including to SOEs) | X |
| 7 | Central bank (borrowed on behalf of the government) | X |
| 8 | Non-guaranteed SOE debt | |

**2. Efforts to increase the government's capacity to record and monitor public debt and contingent liabilities continue**. The authorities are committed to further work to enhance data coverage of SOEs in the DSA baseline, including consolidating the general government fiscal accounts with the financial statements of the SOEs (both on the revenue, expenditure, and financing sides) and corresponding 20-year projections. The authorities see this consolidation as a prerequisite for incorporating SOE debt into total debt (in the baseline) and have received technical assistance (TA) to

[2]The debt owed to the West-African Development Bank (BOAD) was reclassified from domestic to external debt to harmonize the treatment of BOAD debt in the WAEMU region. The CFAF issuance in the regional market is still classified as domestic due to lack of data. This DSA continues to exclude external private debt from external debt due to limited information on the outstanding stock of external private debt and related payments. The SDR use is recorded as domestic debt due to the lending arrangement between the government and the BECAO.

[3]The amount corresponding to the debt service due by the Port Autonome d'Abidjan (PAA) is added to the revenue for the calculation of the external debt service to revenue ratio to take into account that the PAA has been servicing its debt and is in financially sound situation.

[4]Non-guaranteed SOE debt and local government debt are not included in the baseline because of limited information.

advance this task. Additionally, further work on data reconciliation with the World Bank Debt Reporting System is ongoing. As part of the IDA Sustainable Development Finance Policy (SDFP), authorities have been implementing reforms (Performance and Policy Actions or PPAs) in the areas of debt transparency (by publishing, on a quarterly basis, of on-lent loans to the state-owned enterprises), fiscal sustainability (by adopting a legal framework for collection and oversight of non-tax revenue), and debt management (by adoptions a mechanism for approving on-lending to SOEs).

**3. The magnitude of the shock in the contingent liability stress test applied in the sensitivity analysis reflects potential additional liabilities**. The LIC-DSF default settings are applied for the contingent liabilities shock. They could emanate from SOE debt not captured in the data coverage, especially from non-guaranteed debt and domestic arrears, public-private partnership agreements, and the financial sector. Total contingent liabilities for the CL test are estimated at 9.3 percent of GDP (Text Table 2). The stock of public private partnerships represents about 6.6 percent of GDP at end-2022, with more than half of investment commitments in the energy sector.

**Text Table 2. Côte d'Ivoire: Magnitude of the Contingent Liability Stress Test**

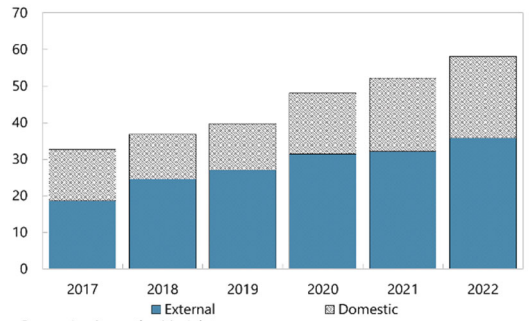
| | | | |
|---|---|---|---|
| 1 The country's coverage of public debt | The central government plus social security, central bank, government-guaranteed debt | | |
| | Default | Used for the Analysis | Reasons for Deviations from the Default Settings |
| 2 Other elements of the general government not captured in 1. | 0 percent of GDP | 0 | |
| 3 SoE's debt (guaranteed and not guaranteed by the government) 1/ | 2 percent of GDP | 2 | |
| 4 PPP | 35 percent of PPP stock | 2.30 | |
| 5 Financial market (the default value of 5 percent of GDP is the minimum value) | 5 percent of GDP | 5 | |
| Total (2+3+4+5) (in percent of GDP) | | 9.3 | |

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.

# DEBT BACKGROUND

**4. Public debt increased significantly over the last few years with external debt growing as a share of total debt**.[5] The increase in indebtedness over 2017-2022 was driven by higher recourse to external debt including to finance an increase in investment and social spending in the context of the National Development Plan 2021-2025, the COVID-19 crisis, and adverse economic spillovers from Russia's invasion of Ukraine. The medium-term debt strategy 2019-2023 updated in the revised 2022 finance law envisaged that 64 percent of new financing would come from

**Text Figure 1. Côte d'Ivoire: Evolution of Public Debt**
(Percentage of GDP)




Source: Ivorian authorities' data.

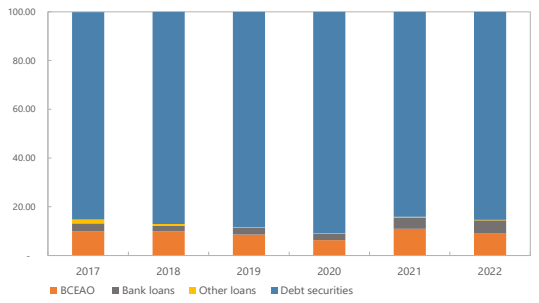
[5]In this DSA, Public and Publicly Guaranteed external debt excludes claims under Debt Reduction-Development Contract (C2D), which were cancelled in the context of HIPC debt relief. The C2D is a debt restructuring tool under which Côte d'Ivoire continues to service its bilateral debts to France and Spain until repayment. The amount

(continued)

external sources and favor borrowing in euros and CFA francs to limit exchange rate risk. Already a large share of external borrowing is denominated in euros. Public debt stood at 58.1 percent of GDP at end-2022, compared with 32.7 percent in 2017. External debt stood at 35.8 percent of GDP, compared to 18.7 percent in 2017—representing 61.7 percent of total debt at end-2022, decreasing sharply from the height of 68.5 percent in 2019 back to the level in of 57.1 percent. Due to adverse conditions in global financial markets, the authorities did not issue any eurobond in 2022 but contracted external commercial debt and borrowed from the domestic and regional markets.

**5. Most of the domestic debt is in the form of CFAF denominated securities**. Those securities have a maturity between 3 months and 15 years and are held by domestic and other WAEMU investors. The authorities are mindful of the fact that an excessive recourse to the regional market would run the risk of a tightening of financing constraints and a crowding-out of private sector credit, given the financing needs across WAEMU countries. Regional market conditions have tightened as the BCEAO increased its policy interest rate to 3 percent in March 2023, the fourth increase since June 2022, and moved from the fixed rate full allotment tender to a flexible rate fixed quantity system, which led to a drop in demand for new sovereign issuances across the WAEMU region.

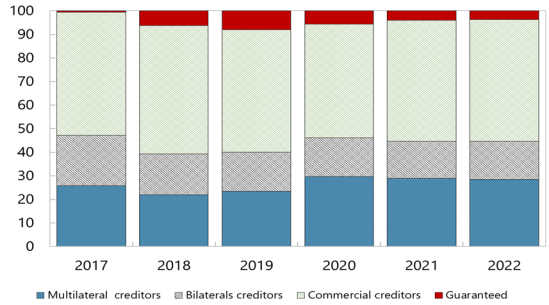
**Text Figure 2: Côte d'Ivoire: Composition of Domestic Debt**




Source: Ivorian authorities' data.

**6. Within external debt (excluding guarantees), commercial creditors hold more than half of the external debt stock**. Close to 90 percent of commercial debt is in the form of eurobonds. As in the past, the authorities undertook a liability management operation in 2020 to reduce exchange rate risks and lengthen maturity. Multilateral creditors have increased their share of debt since 2018 and represented 28.5 percent of external debt in 2022, as Côte d'Ivoire mobilized substantial concessional external financing to fund its response to the pandemic. On the other hand, the share of bilateral creditors has decreased since 2016, accounting for about 16 percent of the external debt stock at end-2022 compared to 21 percent in

**Text Figure 3: Côte d'Ivoire: Composition of External Debt**




Source: Ivorian authorities' data.

corresponding to this bilateral debt service is transferred back to the country as grants to finance poverty reduction programs. Flows associated with the C2D process are included by IMF staff in the external and fiscal accounts to capture gross cash flows (debt service and grants). See IMF Country Report no14/358 and Supp.1, 11/21/2014 for a detailed discussion.

2017. The remaining shares are associated with commercial creditors (51.7 percent) and guaranteed debt (3.7 percent).

# RECENT DEVELOPMENTS AND UNDERLYING ASSUMPTIONS

**7. After showing resilience to the pandemic, the rebound of the Ivoirian economy has softened amid Russia's invasion of Ukraine and global monetary tightening**. After a rebound to 7 percent in 2021 from 1.7 percent in 2020 thanks to strong pre-crisis fundamentals and a rapid policy response, growth in 2022 is estimated at about 6.7 percent amid higher import prices and global interest rates, as well as slowing global demand. Inflation reached to 5.2 percent in 2022 reflecting mostly surge in food prices.

**8. The assumptions in the baseline scenario are consistent with the macroeconomic framework under the ECF/EFF arrangement outlined below** (Text Tables 2 and 3). The authorities requested an arrangement of 400 percent quota, representing about US$3.5 billion to support policies to maintain macroeconomic stability and reforms under the National Development Plan (NDP). They committed to a strong consolidation path driven by upfront domestic revenue mobilization and a return to WAEMU fiscal convergence criteria by 2025. These macroeconomic assumptions include a growth path converging to 6 percent over the medium term from 6.7 percent in 2022, inflation returning to subdued level in the medium term thanks to the exchange rate peg to the euro, a gradual improvement in the external position, and a gradual fiscal consolidation to reach the 3 percent of GDP regional fiscal deficit norm by 2025 with the policies described below. Projections also assume a balanced recourse to domestic and external debt.

- **GDP growth to range between 6 and 6.7 percent through the medium term similarly to the previous DSA**. Real GDP growth continues to show recovery but tempered by the consequences of the ongoing Russia's invasion of Ukraine on the global economy and now the global and regional monetary tightening, to 6.2 percent in 2023 and to rebound to around 6½ percent in the following years, and to converge to 6 percent over the medium term thanks to continued investments in human capital, infrastructure and reforms to improve competition in the digital, telecom, financial and transport sectors supported by the World Bank Development Policy Financing series. Growth is expected to be supported by industry and services as reforms improve competition on the supply side and by investments in infrastructure and human capital on the demand side. The implementation of a strong reform agenda from the NDP and recent oil discovery could, however, catalyze stronger business confidence and investment, and further lift productivity and growth, while persistent insecurity in the north of the country and uncertain global developments represent downside risks. While average real GDP growth and inflation are similar to the last DSA projections, nominal GDP in dollars decreased by 10 percent due to the euro depreciation against the dollar compared to the last DSA over the projections' period.

- **Gradual return to subdued inflation over the medium term**. Annual average inflation (CPI) is projected to reach 3.7. percent in 2023, reflecting a downward trend of global food and commodity prices and the BCEAO's monetary tightening. It is expected to remain low at around 2 percent in the medium term, benefiting from the exchange rate peg to the euro.

- **Wider budget deficits in the short term**. Primary and overall fiscal deficits reached, respectively, 4.6 and 6.8 percent of GDP in 2022, due to the response to adverse spillovers from Russia's invasion of Ukraine and higher security spending to respond to insecurity in the north and the acceleration of public investment under the NDP. While the NDP prominently focuses on an increase in private sector investment, it also has goals for public investment and debt financed public investment projects. The authorities are committed to converging to the 3 percent of GDP regional target in 2025 through strong consolidation efforts, especially by raising domestic revenue, while preserving priority spending. Increasing domestic revenue mobilization efforts will also allow to create fiscal space for public investment and priority spending. The consolidation expected under the ECF/EFF arrangement favors DRM efforts to preserve much needed capital investment and social priority spending.

- **Higher tax revenue projections**. One of the authorities' key goals under the ECF/EFF arrangement is to keep Côte d'Ivoire's debt rating at moderate risk of debt distress. This requires significant and sustained efforts to mobilize revenues under the program and beyond. A quantitative performance criterion will monitor the tax revenue level through a floor. Continued improvements are expected through strengthened digitalization and tax administration but also through tax policy, supported by the design and implementation of a comprehensive medium-term revenue mobilization strategy (MTRS) and technical assistance of the Fund, the World Bank and other donors (structural benchmark). Tax revenue is assumed to increase from 12.9 percent of GDP in 2022 to 15.1 percent of GDP in 2025, reaching close to 18 percent by the end of the projections' period. Efforts should include eliminating VAT tax exemptions, accelerating the removal of business tax exemptions, streamlining the personal income tax regime, improving property regime, fully rolling out new IT system and pursuing public finances management reforms.

- **Revenue coverage**. In addition to greater revenue mobilization efforts, the coverage of fiscal accounts will also be broadened consistent with Government Finance Statistics Manual 2014 (GFSM 2014) to include off-budget earmarked revenues collected by public enterprises.[6] Moreover, following from a WAEMU council of ministers' directive, the authorities will also begin including taxes paid for and collected by the state in relation to donor externally financed projects.

- **A narrowing current account deficit**. The external current account deficit is estimated at 6.5 percent of GDP in 2022 and expected to narrow to 3.1 percent of GDP in 2028. Exports are expected to grow more than imports from 2024 onwards thanks to the implementation of NDP and Côte d'Ivoire 2030 policies, especially on private sector development and export diversification. Exports also benefit from higher prices in key export crops. Fiscal consolidation should also support

[6]Specifically, this will apply to the retroactive inclusion of the Perequation Produit revenue collected by the refinery (SIR).

a narrowing of the current account deficit over the medium term and revert the trade balance to its historical surplus.

- **Risks**. These assumptions are subject to downside risks including from possible unfavorable terms-of-trade shocks and weaker-than-expected global growth in the context of the pandemic, Russia's invasion of Ukraine, tightening of global financial conditions, and rising protectionism. Delivering on domestic revenue mobilization also contains risks. The upside risks consist mainly of the confirmation of the oil discovery full potential, including translating to higher revenue, and the strict implementation of the NDP.

## Text Table 3. Côte d'Ivoire: LIC DSA Macroeconomic Assumptions

| | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 |
|---|---|---|---|---|---|---|---|---|---|
| | | | Prel. | Projections | | | | | |
| | (Annual percentage changes, unless otherwise indicated) | | | | | | | | |
| **National Income** | | | | | | | | | |
| GDP at constant prices | 1.7 | 7.0 | 6.7 | 6.2 | 6.6 | 6.4 | 6.3 | 6.1 | 6.0 |
| GDP deflator | 1.6 | 2.7 | 2.8 | 2.7 | 2.1 | 1.9 | 1.7 | 1.5 | 2.0 |
| **External Sector (on the Basis of CFA Francs)** | | | | | | | | | |
| Exports of goods, f.o.b., at current prices | -2.9 | 18.2 | 20.7 | 4.3 | 9.6 | 8.9 | 8.8 | 8.1 | 7.6 |
| Imports of goods, f.o.b., at current prices | -1.5 | 24.3 | 36.5 | 3.1 | 6.6 | 6.3 | 7.2 | 6.8 | 7.5 |
| Export volume | -2.4 | 10.2 | 0.3 | 5.3 | 7.9 | 8.1 | 8.0 | 7.2 | 6.3 |
| Import volume | 1.9 | 11.7 | 7.0 | 5.3 | 6.0 | 5.7 | 6.6 | 6.1 | 6.1 |
| | (Percent of GDP unless otherwise indicated) | | | | | | | | |
| **Central Government Operations** | | | | | | | | | |
| Total revenue and grants | 15.0 | 15.8 | 15.3 | 16.4 | 17.0 | 17.4 | 17.9 | 17.9 | 17.9 |
| Total revenue | 14.4 | 15.3 | 14.8 | 15.8 | 16.5 | 17.0 | 17.6 | 17.5 | 17.6 |
| Total expenditure | 20.4 | 20.7 | 22.1 | 21.7 | 21.1 | 20.4 | 20.9 | 20.9 | 20.9 |
| Primary expenditure | 18.6 | 18.8 | 19.9 | 19.4 | 18.9 | 18.1 | 18.7 | 18.7 | 18.7 |
| Primary balance | -3.6 | -3.0 | -4.6 | -3.0 | -1.9 | -0.8 | -0.8 | -0.8 | -0.9 |
| Overall balance, incl. grants, payment order basis | -5.4 | -4.9 | -6.8 | -5.3 | -4.1 | -3.0 | -3.0 | -3.0 | -3.1 |
| **External Sector** | | | | | | | | | |
| Current account balance | -3.1 | -4.0 | -6.5 | -5.6 | -4.7 | -4.0 | -3.4 | -3.1 | -3.1 |
| Non-interest current account balance | -2.1 | -2.9 | -5.3 | -4.4 | -3.6 | -2.9 | -2.4 | -2.1 | -2.2 |

Sources: Ivorian authorities, World Bank, and IMF staff estimates and projections.

## Text Table 4. Côte d'Ivoire: Changes in Economic Assumptions

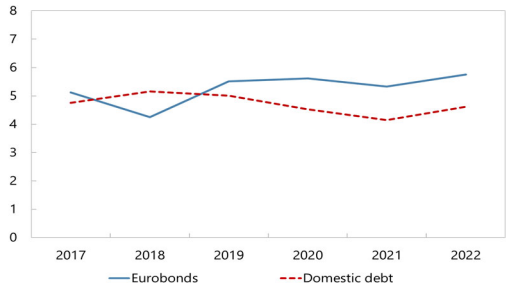
| | Previous DSA | | | Current DSA | | |
|---|---|---|---|---|---|---|
| | 2023-2028 | 2029-2033 | 2034-2042 | 2023-2028 | 2029-2033 | 2034-2042 |
| Nominal GDP (USD Billion) | 98.9 | 147.9 | 244.3 | 93.9 | 141.2 | 242.0 |
| Real GDP (y/y % change) | 6.2 | 5.8 | 5.6 | 6.4 | 5.9 | 5.6 |
| | (Percent of GDP unless otherwise noted) | | | | | |
| **Fiscal (Central Government)** | | | | | | |
| Revenue and grants | 15.5 | 15.7 | 15.9 | 17.4 | 18.7 | 19.2 |
| of which grants | 0.4 | 0.3 | 0.3 | 0.4 | 0.2 | 0.1 |
| Primary expenditure | 16.6 | 16.7 | 16.9 | 16.6 | 18.5 | 19.3 |
| Primary balance | -1.1 | -1.0 | -1.0 | -1.4 | 0.3 | -0.1 |
| **Balance of Payments** | | | | | | |
| Exports of goods and services | 20.0 | 19.3 | 18.5 | 22.7 | 21.4 | 18.8 |
| Imports of goods and services | 16.1 | 15.7 | 14.9 | 19.3 | 18.0 | 16.9 |
| Non-interest current account balance | -3.0 | -3.3 | -3.4 | -2.9 | -2.7 | -4.1 |
| Current account balance | -4.0 | -4.2 | -4.1 | -4.0 | -3.5 | -4.8 |
| Foreign direct investment (net inflows) | 1.3 | 1.6 | 1.9 | 2.0 | 2.3 | 2.7 |

Sources: Ivorian authorities, World Bank and IMF staff estimates and projections.

**9. The authorities' debt management strategy aims to meet gross financing needs while ensuring debt sustainability, based on a balanced mix of external and domestic financing instruments**. Consistent with the authorities' medium-term debt management strategy, Côte d'Ivoire's financing needs in 2023 are expected to be met by relying on a mix of sources in domestic and foreign currencies. The authorities communicated their aim to borrow externally in line with their medium-term debt strategy. The level of external commercial borrowing is set close to projected external commercial debt service. Multilateral and bilateral financing is projected to gradually decline from 5 percent of GDP in 2022 to 2.3 percent in 2042. These numbers reflect the most recent IDA disbursement projections. IDA's share of total multilateral financing is projected to increase in the short run and decline in the long term as income per capita increases, going from 70 percent in 2022 to 21 percent in 2042. Net flows from IDA remain positive over the next decade. In the short term, the government is expected to rely on both concessional and non-concessional borrowing to meet its financing needs. The debt service of Eurobonds represents 25 percent of external debt service over the next 3 years. The authorities also intend to balance the recourse to the international and regional markets given the potential crowding-out effect at the regional level. The authorities are pursuing their medium-term debt strategy with the intention to increase domestic debt compared to external debt in the financing mix. They will also update their MTDS this year, taking into account the latest international and regional markets developments. Domestic financing is assumed to rely on issuances of CFAF securities with the following maturities: less than one-year (12 percent of issuances), one to three years (8 percent), three to seven years (46 percent) and more than seven years (34 percent).[7] The regional and eurobonds' interest rates are projected to average 5.4 and 5.7 percent respectively over the projections' period, which are above historical paths. The authorities are continuing to strengthen processes related to debt management, with World Bank support. Moreover, debt management will be further strengthened under the program by upgrading the institutional and legislative framework:

- New debt department (Direction générale des financements, DGF): In March 2023, the DGF was created to optimize the mobilization and management of financing resources. Specifically, the new department is tasked to supervise the mobilization of loans and grants, ensure technical coordination of donors' financed projects with co-financing, oversee the design and implementation of the medium-term debt management strategy (MTDS) including the

**Text Figure 4: Côte d'Ivoire: Implied Interest Rates**




Sources: Ivorian authorities, World Bank and IMF staff calculations.

[7]The projected increase in domestic financing would require significant purchases of Ivoirian securities by WAEMU residents, with potential crowding out of smaller borrowers. The share of Côte d'Ivoire in the regional market would only increase slightly from 36 in 2021 to 38 percent in 2026. If those purchases were not to happen, external commercial financing would have to increase to fill the gap. Domestic borrowing assumptions hinge on Côte d'Ivoire's capacity to increase by 35 percent the volume of domestic issuances within the next 4 years (from around CFAF 2,600 billion projected in 2022 to CFAF 3,500 billion in 2026) at the current yields.

DSA, centralize public debt data and analysis, and develop new financing strategies and instruments.

- New law of public debt policies: The authorities plan to modernize legislative instruments on public debt management (Structural Benchmark, September 2023). The new law will (i) define general objectives for public debt and prudential rules; (ii) establish public debt commitment procedures for ministerial departments and state agencies; (iii) rationalize the framework for debt operation and debt management; (iv) clarify the rules and purposes for government on-lending; (v) and strengthen the institutional framework for public debt management.

**10. While setting ambitious targets, the macroeconomic framework is broadly plausible** (Figure 4). The realism tool shows that the macroframework, while plausible, will require relatively strong consolidation efforts from the authorities to meet its ambitious targets. The projected medium-term debt-creating flows are below those observed in the past five years which were driven by a sizable residual. The 2.2 percent of GDP residual calculated for 2022 mostly reflects a different recording of project loan disbursements in the fiscal accounts and the debt statistics, as well as the non-integration in the fiscal accounts of the flows associated with new debt contracted by the government and on-lent to SOEs, which is included in public debt.

# COUNTRY CLASSIFICATION AND DETERMINATION OF SCENARIO STRESS TESTS

**11. Côte d'Ivoire is assessed to have medium debt-carrying capacity**. Based on the October 2022 WEO macroeconomic framework and the World Bank's 2021 CPIA index, Côte d'Ivoire's composite indicator is 2.94 (above the lower cut-off of 2.69 but below the strong capacity cut-off value of 3.05) confirming the medium debt carrying capacity assessment used in previous DSA.[8] The relevant thresholds are used to assess debt risk rating.

**12. Given Côte d'Ivoire's reliance on global capital markets, a tailored test for international market financing was conducted**. Côte d'Ivoire issued sizeable eurobonds both in 2020 and early 2021 (for about US$1.2 billion and US$1 billion, respectively) and used about half of the 2020 issuance to buy back bonds with shorter maturities and reduce the currency risk. Its debt management strategy aims at leveraging global capital markets to finance part of the country's gross financing needs when market's conditions are favorable. A tailored test for market financing assumes a temporary increase in the cost of new commercial external borrowing by 400 basis points combined with a nominal depreciation of 15 percent of the CFAF vis-à-vis the US$ and a shortening of maturities and of grace periods.[9]

[8]The other variables from the macroeconomic framework consist of five variables: real GDP growth, remittances, import coverage of reserves, the square of import coverage of reserves, and world economic growth. The composite indicator uses ten years of data (5 years of history and 5 years of projections) to smooth out economic cycles.

[9]The share of USD denominated debt is estimated to be decreasing over time. The considered shortening of maturities of commercial external borrowing are as follows: if the original maturity is greater than 5 years, the new maturity is set to 5 years; if the original maturity is less than 5 years, the new maturity is shortened by 2/3.

**Text Table 5. Côte d'Ivoire: CI Score**

| Debt Carrying Capacity | Medium |
|---|---|

| Final | Classification Based on Current Vintage | Classification Based on the Previous Vintage | Classification Based on the Two Previous Vintage |
|---|---|---|---|
| Medium | Medium<br>2.94 | Medium<br>2.96 | Medium<br>2.97 |

| APPLICABLE | |
|---|---|
| **EXTERNAL Debt Burden Thresholds** | |
| **PV of Debt in % of** | |
| **Exports** | 180 |
| **GDP** | 40 |
| **Debt Service in % of** | |
| **Exports** | 15 |
| **Revenue** | 18 |

| APPLICABLE | |
|---|---|
| **TOTAL Public Debt Benchmark** | |
| PV of total public debt in percent of GDP | 55 |

**13. A contingent liability tailored shock was conducted to capture potential fiscal risks arising from SOEs, PPPs, and the financial market**. This tailored stress test includes the standardized 2 percent of GDP for risks related to SOEs, a 2.3 percent of GDP shock to accommodate potential fiscal risks on 35 percent of the PPP capital stock, and a financial sector shock of 5 percent of GDP.

**14. Standard stress tests on real GDP growth, primary balance, exports, current transfers, foreign exchange (FX) depreciation, and a tailored test on commodity prices have also been applied**. The first four shocks set each of the above variables to the lower of its historical average minus one standard deviation, or its baseline projection minus one standard deviation. The FX depreciation considers a nominal depreciation of 30 percent of the CFAF vis-à-vis the US$ in the first year of the projection. The commodity price shock captures the impact of a sudden one standard deviation decline in commodity prices.

# EXTERNAL DEBT SUSTAINABILITY ANALYSIS

**15. The country remains at moderate risk of debt distress when judgement is applied despite two temporary breaches under the baseline in 2024 and 2025**. The debt service-to-revenue ratio remains below the 18 percent threshold during the projection period, except for two breaches at 21.9 and 20.6 percent in 2024 and 2025, respectively, which trigger a mechanical rating of high risk of debt distress. The ratio would steadily decline well below the threshold under the Fund-supported program before returning closer to the threshold around 2030. In the long run, it would decrease steadily until the end of projections. The deterioration of the external debt service comes mainly from the deterioration of the euro/US$ exchange, and to a lesser extent the external commercial debt contracted in 2022 on non-concessional terms, with higher interest rate and shorter maturities reflecting the tightening of financial conditions.

**16. Applying judgement to maintain a moderate risk of debt distress is warranted by the country's strong track record of market access and active consideration of liabilities management operations**. Côte d'Ivoire has enjoyed consistent market access through eurobonds issuance for about the past decade and continues to benefit from one of the stronger credit ratings in Sub-Saharan Africa. Guarantees from regional banks may allow for better financing conditions on external public commercial loans in case of delays in market normalization. This puts the country in a favorable position to undertake liabilities management operations (LMO) to alleviate debt risks as soon as market conditions become more favorable. It is also supported by the risk signal from the market financing pressures tool, which indicates moderate risk (Figure 6).

**17. All PPG debt indicators are below their corresponding thresholds for the next ten years in the baseline scenario**. The PV of external debt-to-GDP is expected to decrease from 30.5 percent in 2023 to 19.5 percent in 2033 (Table 1 and Figure 1), well below the relevant threshold of 40.[10] The PV of external debt to exports peaks at 126.8 percent at the beginning of the projection period before decreasing and the debt service-to-exports ratio is expected to reach 14.9 percent in 2024, with thresholds respectively at 180 and 15 percent. After the 2024–25 spike, the debt-service-to-revenue ratio is expected to remain below the threshold throughout the following years. The trajectory of the debt-service-to-revenue ratio underscores the criticality of improving domestic revenue mobilization to provide the authorities with a sustainable source of funding for their important development needs and to provide buffers on debt service.

**18. Exports and depreciation shocks would have a significant negative impact on Côte d'Ivoire's external debt sustainability**. An export shock would cause debt service-to-export ratio to breach the threshold from 2024 onward and, while most shocks would cause the debt-service-to-revenue indicator to breach the threshold starting in 2024. This highlights the importance of accelerating policies aiming at active debt management to moderate reliance on external borrowing to address liquidity management in order to strengthen the resilience of the Ivoirian economy to shocks.

# PUBLIC DEBT SUSTAINABILITY ANALYSIS

**19. Under the baseline scenario, the PV of public debt-to-GDP ratio is below its threshold of 55 percent** (Figure 4). The PV of public debt-to-GDP is expected to slightly decline over the projection period, to around 39 percent by 2033. Meanwhile, the PV of debt-to-revenue and grants ratio would decline from around 323 percent in 2023 to 204 percent in 2033. Finally, the debt service-to-revenue and grants ratio is projected to soar to 47 percent in 2024 and 2025 and decline back to around 19 percent at the end of the projection period. This again underscores the importance of strengthening domestic revenue mobilization.

[10]The November 2020 liability management operation, which involved the buy-back of USD 486 million dollar-denominated bonds maturing in 2028 and 2032 and EUR 85 million euro-denominated bonds maturing in 2025, led to a small improvement in liquidity indicators.

**20. Stress tests highlight that Côte d'Ivoire's most extreme public debt vulnerability would emerge from a shock to commodity prices and combined contingent liabilities** (Figure 2 and Table 4). Under the standard commodity price stress test, the PV of public debt-to-GDP would breach its corresponding threshold of 55 percent starting in 2023 and would continue growing afterwards. This shock would lead to an explosive pattern of the two debt indicators, which could be exacerbated if commodity prices were to increase even further. Exports of cocoa products represent more than one third of total exports, which makes Côte d'Ivoire particularly sensitive to its commodity price fluctuation, highlighting the importance of accelerating diversification policies. A contingent liability shock would trigger an important spike in 2025 in the debt service to revenue ratio.

# RISK RATING AND VULNERABILITIES

**21. The new debt sustainability analysis indicates that Côte d'Ivoire remains at moderate risk of external debt distress as in the June 2022 DSA when judgement is applied, and with limited capacity to absorb shocks**. Except for two temporary breaches in 2024 and 2025, the debt service-to-revenue ratio remains below but close to its corresponding threshold under the baseline scenario, and the other debt indicators stay below their thresholds. Standard stress tests show that the PV of external debt-to-exports ratio, debt service-to-export ratio, and debt service-to-revenue ratio would cross the threshold in the most extreme shock scenarios. The space to absorb shocks is limited with the external debt-service-to-revenue ratio breaching and then remaining below but close to the threshold during the projection period (Figure 5). This reinforces the focus under the ECF/EFF-supported program of policy commitments to intensify revenue mobilization and promote private-sector led economic transformation, including diversifying the export base. It is also crucial to have a prudent external borrowing strategy aimed at balancing the costs and risks of new loans to preserve Côte d'Ivoire's borrowing space and medium-term debt sustainability. The authorities will keep on evaluating the desirability and timing of tapping the external market—as they did in 2022 when they preferred to refrain from issuing internationally—as the EMBI spread deteriorated since the 2022 DSA. The ECF/EFF arrangement, along with the World Bank DPO should catalyze other donors' financing at concessional terms.

**22. This DSA indicates that the overall risk of debt distress also remains moderate, and stress tests highlight high vulnerabilities of external and total debt to shocks**. While the overall debt sustainability risk remains moderate, the PV of public debt-to-GDP breaches its threshold of 55 percent starting in 2024 under the most extreme shock (commodity price) arising from the standard stress tests. Three out of four external debt indicators would breach their threshold under the most extreme shocks (exports and depreciation). Risks have been exacerbated by the COVID environment, Russia's invasion of Ukraine, and the global monetary tightening, as the global growth recovery, and hence that of Ivorian exports, could prove weaker than currently projected.

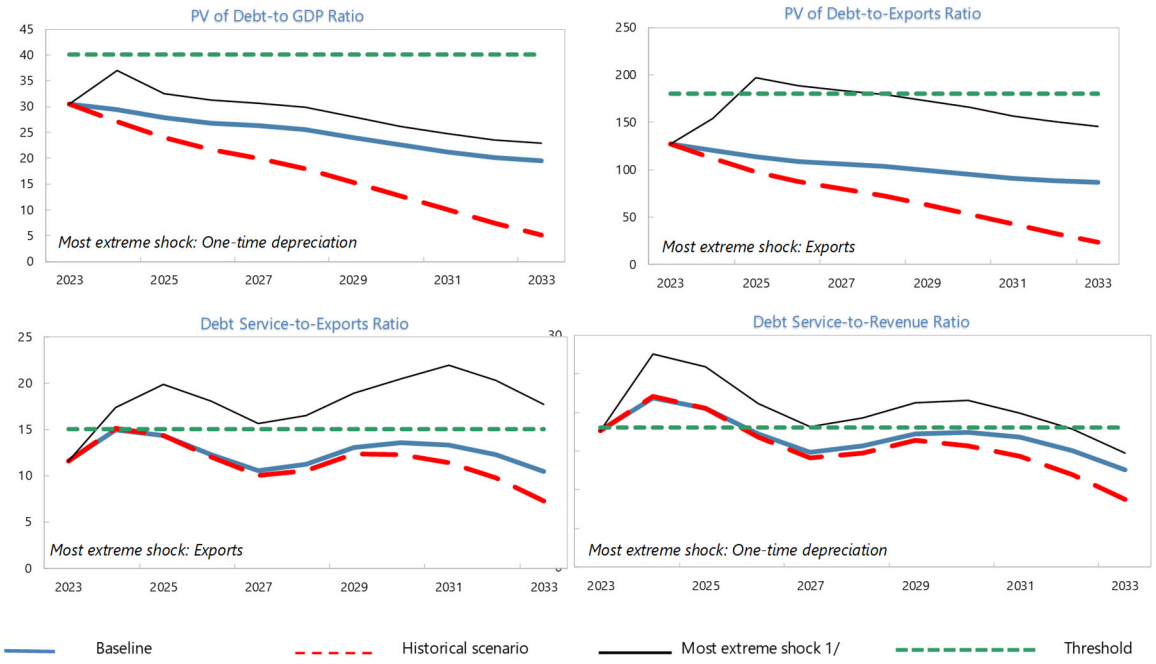
**23. The authorities are appropriately focused on building resilience against shocks to debt sustainability**. Keeping the country at moderate risk of debt distress is a priority for the authorities and is therefore an anchor under the ECF/EFF arrangement. The authorities' effort to

consolidate through continued and sustained domestic revenue mobilization is paramount while remaining committed to containing medium-term public expenditure, to reach the WAEMU target of 3 percent of GDP fiscal deficit, another anchor under the Fund-supported program. Additionally, the DSA results highlight the need to carefully monitor debt indicators, conduct prudent GDP growth projections, create fiscal space, implement judicious policies to preserve macroeconomic stability, and have full oversight of SOE debt contracting. Within this context, the authorities are committed toward fully integrating SOE debt in their debt sustainability assessment. A careful and active debt management, including balancing domestic and external debt equilibrium, will be crucial to preserve debt sustainability and keep the country at moderate risk of debt distress.

# AUTHORITIES' VIEWS

**24. The authorities agreed that Côte d'Ivoire remains at moderate risk of debt distress**. The authorities are strongly committed to keeping the country at moderate risk of debt distress. They are aware that the external debt service to revenue ratio breaches twice the threshold in 2024 and 2025 leaving limited margin to absorb shocks. To that extent, they are committed to continue actively managing their debt portfolio and monitoring closely the concessionality of new contracts and the pace of disbursements to remain in the same debt distress category and are strongly committed to the policies and targets under the ECF/EFF program for increasing domestic revenue mobilization.

## Figure 1. Côte d'Ivoire: Indicators of Public and Publicly Guaranteed External Debt Under Alternative Scenarios, 2023–33[1/]




| Customization of Default Settings | Size | Interactions |
|---|---|---|
| **Tailored Stress** | | |
| Combined CL | No | |
| Natural Disaster | n.a. | n.a. |
| Commodity Price | No | No |
| Market Financing | No | No |

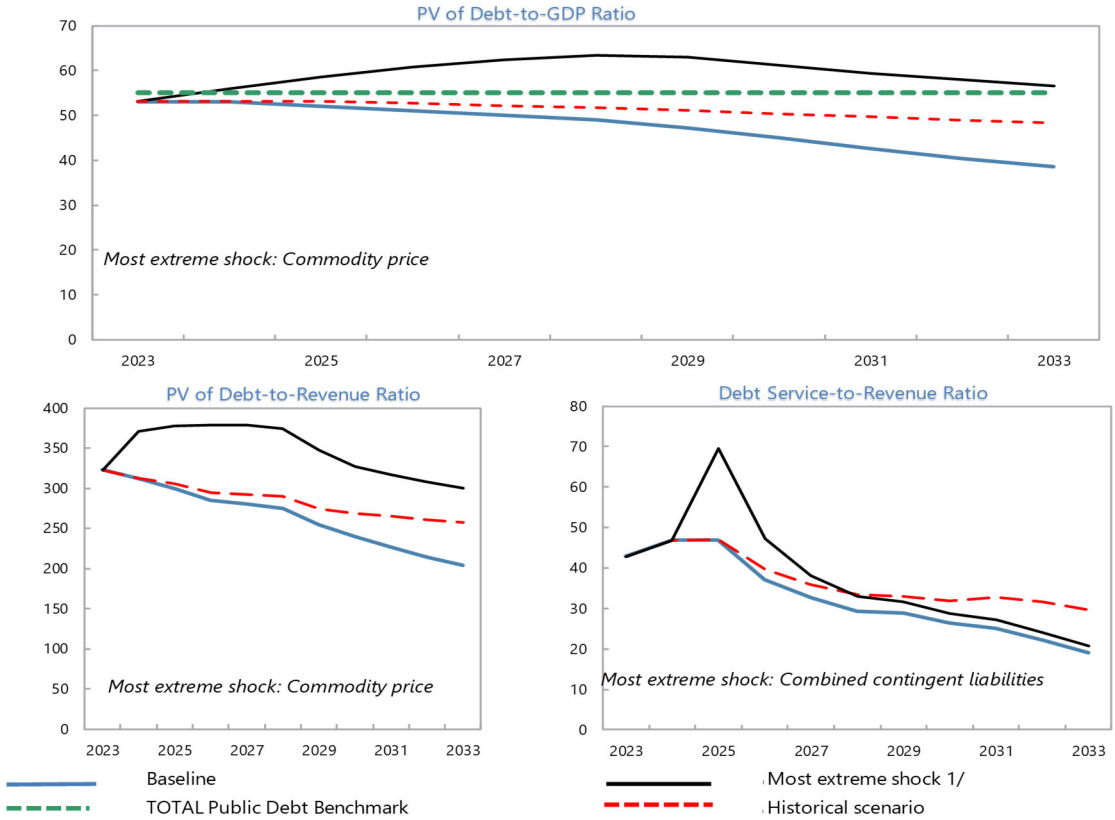
Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

| Borrowing Assumptions on Additional Financing Needs Resulting from the Stress Tests* | Default | User Defined |
|---|---|---|
| **Shares of Marginal Debt** | | |
| External PPG MLT Debt | 100% | |
| **Terms of Marginal Debt** | | |
| Avg. nominal interest rate on new borrowing in USD | 3.2% | 3.2% |
| USD Discount rate | 5.0% | 5.0% |
| Avg. maturity (incl. grace period) | 18 | 18 |
| Avg. grace period | 5 | 5 |

* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.
1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.
2/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

## Figure 2. Côte d'Ivoire: Indicators of Public Debt Under Alternative Scenarios, 2023–33




| Borrowing Assumptions on Additional Financing Needs Resulting from the Stress Tests* | Default | User Defined |
|---|---|---|
| | | |
| External PPG medium and long-term | 58% | 58% |
| Domestic medium and long-term | 37% | 37% |
| Domestic short-term | 5% | 5% |
| **Terms of Marginal Debt** | | |
| External MLT debt | | |
| Avg. nominal interest rate on new borrowing in USD | 3.2% | 3.2% |
| Avg. maturity (incl. grace period) | 18 | 18 |
| Avg. grace period | 5 | 5 |
| Domestic MLT debt | | |
| Avg. real interest rate on new borrowing | 3.7% | 3.7% |
| Avg. maturity (incl. grace period) | 1 | 1 |
| Avg. grace period | 0 | 0 |
| Domestic short-term debt | | |
| Avg. real interest rate | 3.6% | 3.6% |

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

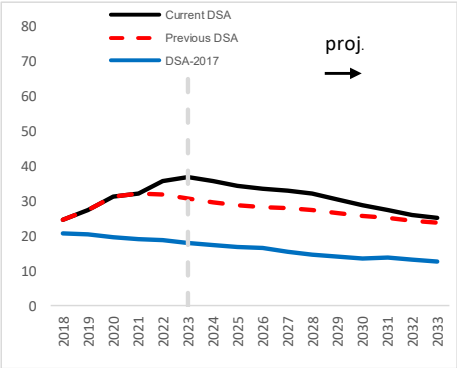
Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

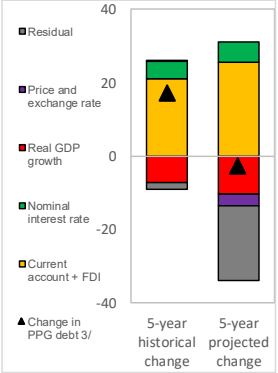
## Figure 3. Côte d'Ivoire: Drivers of Debt Dynamics – Baseline Scenario

### External debt

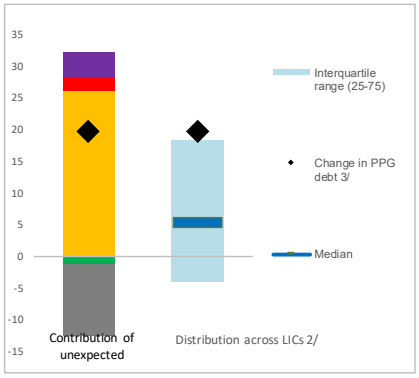
**Gross Nominal PPG External Debt**
(in percent of GDP; DSA vintages)




**Debt-Creating Flows**
(Percent of GDP)

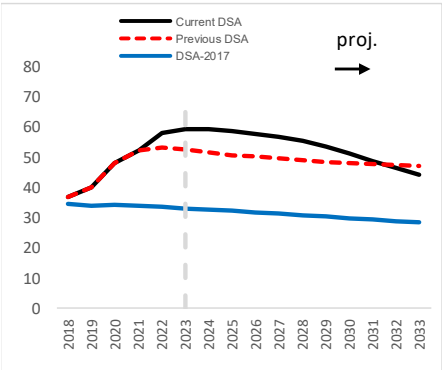



**Unexpected Changes in Debt 1/**
(past 5 years, percent of GDP)

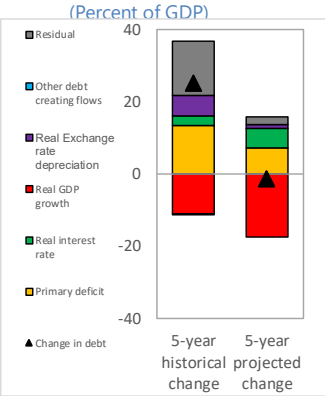



### Public debt

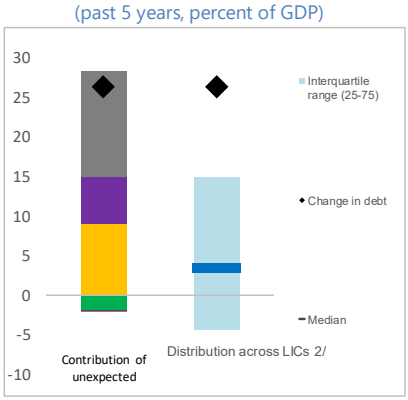
**Gross Nominal Public Debt**
(in percent of GDP; DSA vintages)




**Debt-Creating flows**
(Percent of GDP)




**Unexpected Changes in Debt 1/**
(past 5 years, percent of GDP)



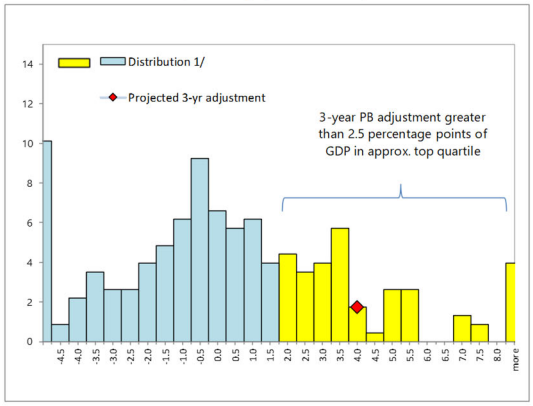

1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

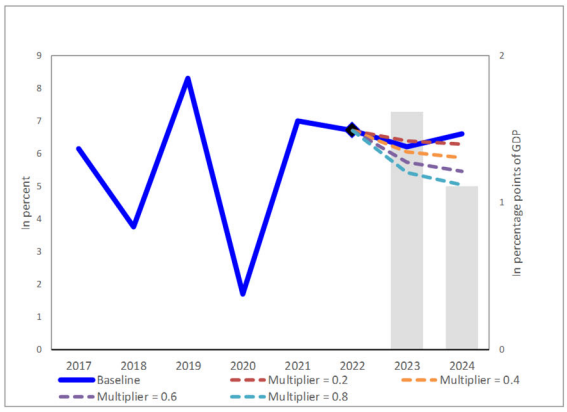
## Figure 4. Côte d'Ivoire: Realism Tools

**3-Year Adjustment in Primary Balance**
(Percentage points of GDP)



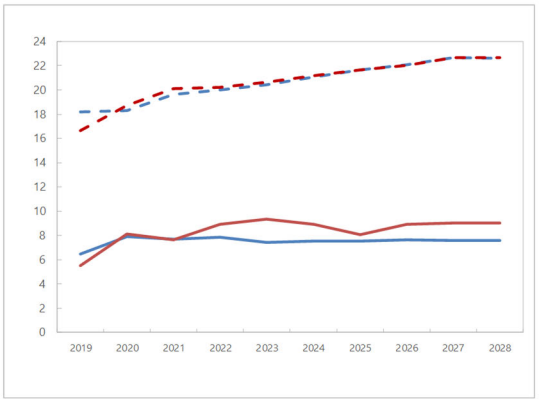

1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

**Fiscal Adjustment and Possible Growth Paths 1/**



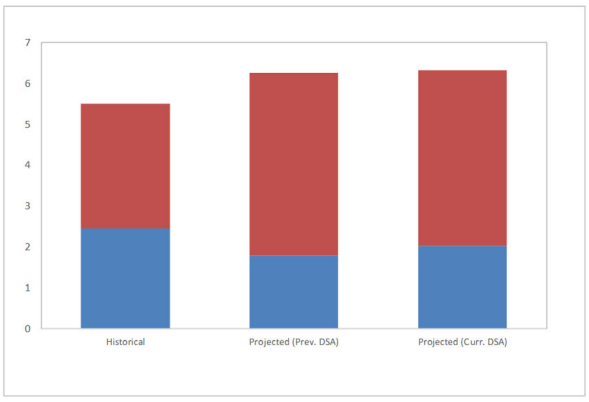

1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

**Public and Private Investment Rates**
(Percent of GDP)



Gov. Invest. - Prev. DSA
Gov. Invest. - Curr. DSA
Priv. Invest. - Prev. DSA
Priv. Invest. - Curr. DSA

**Contribution to Real GDP growth**
(Percent, 5-year average)




Contribution of other factors
Contribution of government capital

**Figure 5. Côte d'Ivoire: Qualification of the Moderate Category, 2023-33[1/]**

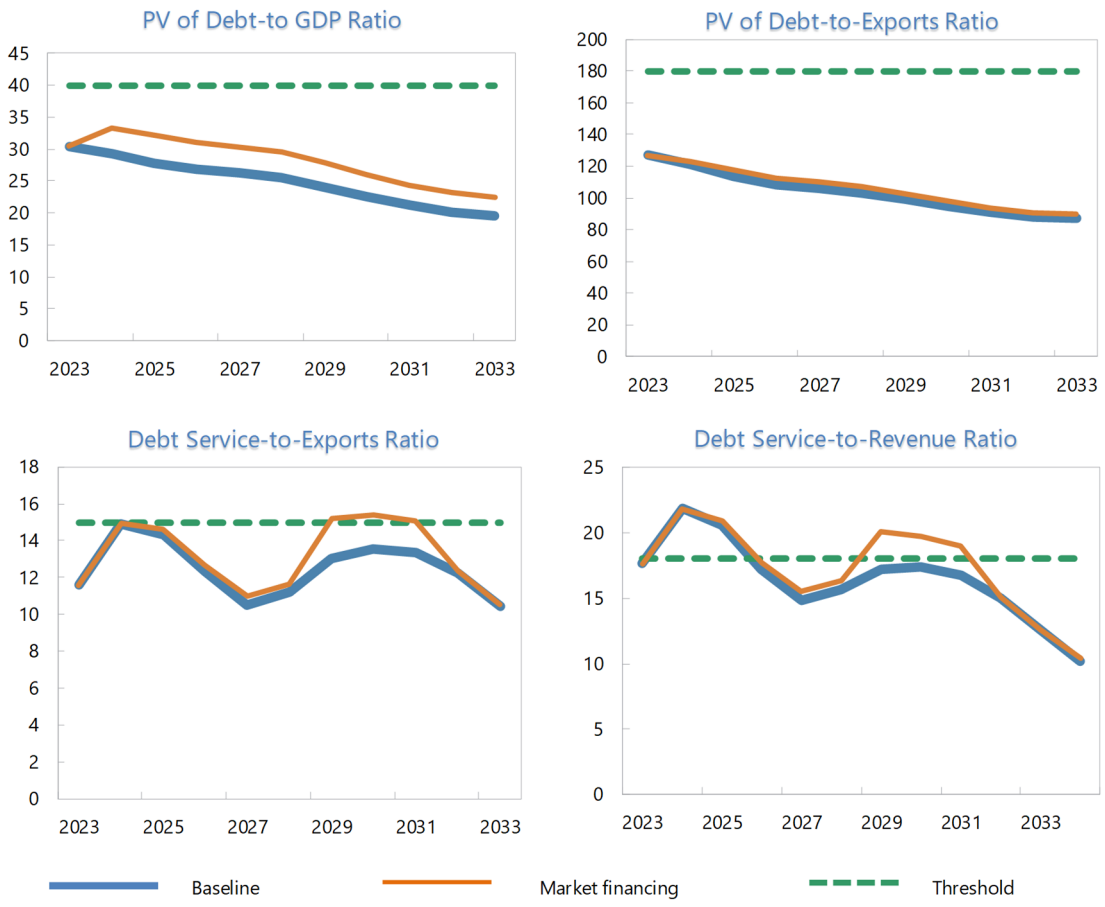
Sources: Country authorities; and staff estimates and projections.

1/ For the PV debt/GDP and PV debt/exports thresholds, x is 20 percent and y is 40 percent. For debt service/Exports and debt service/revenue thresholds, x is 12 percent and y is 35 percent.

## Figure 6. Côte d'Ivoire: Market-Financing Risk Indicators

| | GFN 1/ | EMBI 2/ |
|---|---|---|
| Benchmarks | 14 | 570 |
| Values | 10 | 756 |
| Breach of Benchmark | No | Yes |
| Potential Heightened Liquidity Needs | Moderate | |

1/ Maximum gross financing needs (GFN) over 3-year baseline projection horizon.
2/ EMBI spreads correspond to the latest available data.



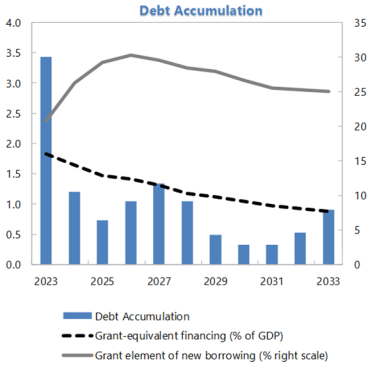

Sources: Country authorities; and staff estimates and projections.

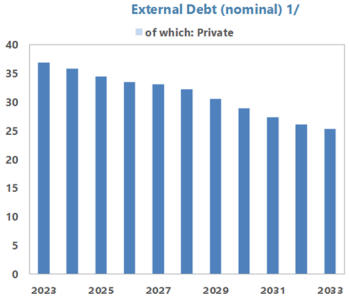
# Table 1. Côte d'Ivoire: External Debt Sustainability Framework, Baseline Scenario, 2020–43

(Percent of GDP, unless otherwise indicated)

| | Actual | | | Projections | | | | | | | | Average 8/ | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2033 | 2043 | Historical | Projections |
| **External Debt (nominal) 1/** | **31.4** | **32.2** | **35.8** | **36.8** | **35.8** | **34.4** | **33.5** | **33.0** | **32.2** | **25.3** | **20.1** | **22.9** | **31.3** |
| ***of which: public and publicly guaranteed (PPG)*** | **31.4** | **32.2** | **35.8** | **36.8** | **35.8** | **34.4** | **33.5** | **33.0** | **32.2** | **25.3** | **20.1** | **22.9** | **31.3** |
| Change in external debt | 4.0 | 0.7 | 3.7 | 1.0 | -1.0 | -1.4 | -0.9 | -0.4 | -0.9 | -0.8 | -0.7 | | |
| **Identified Net Debt-Creating Flows** | **2.9** | **1.7** | **8.7** | **5.4** | **4.5** | **4.0** | **3.5** | **3.3** | **3.4** | **5.0** | **8.1** | **2.2** | **4.1** |
| **Non-interest current account deficit** | **2.1** | **2.9** | **5.5** | **4.4** | **3.6** | **2.9** | **2.4** | **2.1** | **2.2** | **3.2** | **5.7** | **1.6** | **2.8** |
| Deficit in balance of goods and services | -0.9 | -0.1 | 2.8 | 2.0 | 1.2 | 0.5 | 0.0 | -0.3 | -0.2 | 0.8 | 3.3 | **-1.2** | **0.4** |
| Exports | 21.0 | 22.6 | 24.9 | 24.0 | 24.3 | 24.5 | 24.7 | 24.8 | 24.7 | 22.4 | 19.5 | | |
| Imports | 20.1 | 22.5 | 27.6 | 26.1 | 25.5 | 25.0 | 24.7 | 24.5 | 24.4 | 23.2 | 22.8 | | |
| Net current transfers (negative = inflow) | 1.1 | 0.9 | 1.0 | 0.9 | 0.9 | 0.9 | 0.9 | 0.9 | 0.9 | 0.9 | 0.9 | **0.9** | **0.9** |
| *of which: official* | -0.1 | 0.0 | -0.4 | -0.4 | -0.4 | -0.2 | -0.1 | -0.1 | 0.0 | 0.0 | 0.0 | | |
| Other current account flows (negative = net inflow) | 1.9 | 2.0 | 1.7 | 1.5 | 1.5 | 1.5 | 1.5 | 1.5 | 1.5 | 1.5 | 1.5 | **1.8** | **1.5** |
| **Net FDI (negative = inflow)** | **1.1** | **1.5** | **1.4** | **1.8** | **2.0** | **2.1** | **2.1** | **2.1** | **2.2** | **2.4** | **2.9** | **1.1** | **2.2** |
| **Endogenous debt dynamics 2/** | **-0.3** | **-2.7** | **1.8** | **-0.9** | **-1.1** | **-1.0** | **-1.0** | **-0.9** | **-0.9** | **-0.7** | **-0.5** | | |
| Contribution from nominal interest rate | 1.1 | 1.1 | 1.0 | 1.1 | 1.2 | 1.1 | 1.0 | 1.0 | 1.0 | 0.7 | 0.6 | | |
| Contribution from real GDP growth | -0.4 | -1.9 | -2.2 | -2.0 | -2.3 | -2.1 | -2.0 | -1.9 | -1.9 | -1.4 | -1.1 | | |
| Contribution from price and exchange rate changes | -0.9 | -1.9 | 3.0 | ... | ... | ... | ... | ... | ... | ... | ... | | |
| **Residual 3/** | **1.1** | **-1.0** | **-5.0** | **-4.4** | **-5.5** | **-5.4** | **-4.4** | **-3.8** | **-4.3** | **-5.7** | **-8.7** | **0.1** | **-5.1** |
| *of which: exceptional financing* | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | | |
| **Sustainability Indicators** | | | | | | | | | | | | | |
| **PV of PPG external debt-to-GDP ratio** | **...** | **...** | **30.1** | **30.5** | **29.3** | **27.8** | **26.8** | **26.2** | **25.5** | **19.5** | **15.6** | | |
| **PV of PPG external debt-to-exports ratio** | **...** | **...** | **121.1** | **126.8** | **120.8** | **113.7** | **108.4** | **105.9** | **103.4** | **87.0** | **80.1** | | |
| **PPG debt service-to-exports ratio** | **8.4** | **8.9** | **9.0** | **11.6** | **14.9** | **14.4** | **12.3** | **10.5** | **11.2** | **10.5** | **8.9** | | |
| **PPG debt service-to-revenue ratio** | **12.3** | **13.1** | **15.1** | **17.6** | **21.9** | **20.6** | **17.2** | **14.8** | **15.7** | **12.5** | **8.5** | | |
| Gross external financing need (Million of U.S. dollars) | 3121.8 | 4604.8 | 6381.1 | 6973.1 | 7676.4 | 7678.5 | 7310.3 | 7135.0 | 7872.2 | 13026.6 | 35485.3 | | |
| **Key Macroeconomic Assumptions** | | | | | | | | | | | | | |
| Real GDP growth (in percent) | 1.7 | 7.0 | 6.7 | 6.2 | 6.6 | 6.4 | 6.3 | 6.1 | 6.0 | 5.8 | 5.6 | **6.8** | **6.1** |
| GDP deflator in US dollar terms (change in percent) | 3.5 | 6.5 | -8.5 | 3.6 | 1.3 | 1.6 | 1.4 | 1.0 | 0.9 | 2.0 | 2.0 | **0.1** | **1.8** |
| Effective interest rate (percent) 4/ | 4.1 | 4.1 | 3.1 | 3.5 | 3.4 | 3.3 | 3.2 | 3.2 | 3.1 | 3.1 | 3.1 | **3.9** | **3.2** |
| Growth of exports of G&S (US dollar terms, in percent) | -4.1 | 22.7 | 7.5 | 6.4 | 9.1 | 8.9 | 8.8 | 7.5 | 6.5 | 5.7 | 6.7 | **3.3** | **7.0** |
| Growth of imports of G&S (US dollar terms, in percent) | -1.7 | 27.9 | 19.8 | 3.8 | 5.5 | 6.0 | 6.5 | 6.4 | 6.5 | 7.0 | 5.7 | **5.5** | **6.3** |
| Grant element of new public sector borrowing (in percent) | ... | ... | ... | 20.8 | 26.2 | 29.2 | 30.3 | 29.5 | 28.4 | 25.0 | 22.0 | **...** | **26.8** |
| Government revenues (excluding grants, in percent of GDP) | 14.4 | 15.3 | 14.8 | 15.8 | 16.6 | 17.1 | 17.7 | 17.6 | 17.6 | 18.7 | 20.3 | **13.9** | **17.7** |
| Aid flows (in Million of US dollars) 5/ | 336.3 | 333.1 | 375.5 | 1307.1 | 1336.6 | 1312.2 | 1405.0 | 1528.0 | 1251.0 | 1235.2 | 425.0 | | |
| Grant-equivalent financing (in percent of GDP) 6/ | ... | ... | ... | 1.8 | 1.6 | 1.5 | 1.4 | 1.3 | 1.2 | 0.9 | 0.4 | **...** | **1.3** |
| Grant-equivalent financing (in percent of external financing) 6/ | ... | ... | ... | 29.4 | 34.2 | 36.0 | 36.5 | 36.0 | 34.8 | 30.1 | 22.0 | **...** | **33.2** |
| Nominal GDP (Million of US dollars) | 63,074 | 71,849 | 70,180 | 77,194 | 83,384 | 90,141 | 97,114 | 104,087 | 111,348 | 163,588 | 344,520 | | |
| Nominal dollar GDP growth | 5.3 | 13.9 | -2.3 | 10.0 | 8.0 | 8.1 | 7.7 | 7.2 | 7.0 | 7.9 | 7.7 | **6.8** | **8.0** |
| **Memorandum Items:** | | | | | | | | | | | | | |
| PV of external debt 7/ | ... | ... | 30.1 | 30.5 | 29.3 | 27.8 | 26.8 | 26.2 | 25.5 | 19.5 | 15.6 | | |
| In percent of exports | ... | ... | 121.1 | 126.8 | 120.8 | 113.7 | 108.4 | 105.9 | 103.4 | 87.0 | 80.1 | | |
| Total external debt service-to-exports ratio | 8.4 | 8.9 | 9.0 | 11.6 | 14.9 | 14.4 | 12.3 | 10.5 | 11.2 | 10.5 | 8.9 | | |
| PV of PPG external debt (in Million of US dollars) | | | 21124.6 | 23530.2 | 24457.4 | 25066.6 | 26007.6 | 27307.6 | 28390.1 | 31855.1 | 53847.1 | | |
| (PVt-PVt-1)/GDPt-1 (in percent) | | | | 3.4 | 1.2 | 0.7 | 1.0 | 1.3 | 1.0 | 0.9 | 0.7 | | |
| Non-interest current account deficit that stabilizes debt ratio | -1.9 | 2.1 | 1.8 | 3.5 | 4.6 | 4.3 | 3.3 | 2.6 | 3.0 | 4.0 | 6.3 | | |

| Definition of External/Domestic Debt | Currency-Based |
|---|---|
| Is there a material difference between the two criteria? | Yes |




Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

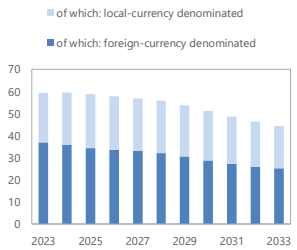
# Table 2. Côte d'Ivoire: Public Sector Debt Sustainability Framework, Baseline Scenario, 2020–43

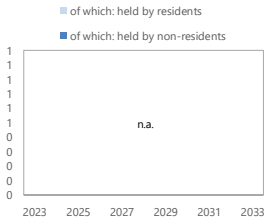
(Percent of GDP, unless otherwise indicated)

| | Actual | | | Projections | | | | | | | | Average 6/ | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2033 | 2043 | Historical | Projections |
| **Public Sector Debt 1/** | **48.1** | **52.1** | **58.1** | **59.3** | **59.4** | **58.6** | **57.7** | **56.6** | **55.6** | **44.3** | **32.6** | **38.0** | **53.7** |
| **of which: external debt** | **31.4** | **32.2** | **35.8** | **36.8** | **35.8** | **34.4** | **33.5** | **33.0** | **32.2** | **25.3** | **20.1** | **22.9** | **31.3** |
| Change in public sector debt | 8.0 | 4.0 | 5.9 | 1.3 | 0.1 | -0.8 | -0.9 | -1.1 | -1.1 | -2.0 | -0.7 | | |
| **Identified Debt-Creating Flows** | **2.0** | **2.9** | **3.7** | **0.0** | **-0.7** | **-1.6** | **-1.4** | **-1.2** | **-1.2** | **-1.4** | **-0.3** | **1.0** | **-1.3** |
| **Primary deficit** | **3.6** | **3.0** | **4.6** | **3.0** | **1.9** | **0.8** | **0.9** | **0.8** | **0.9** | **-0.3** | **0.4** | **1.9** | **0.6** |
| Revenue and grants | 15.0 | 15.8 | 15.3 | 16.4 | 17.0 | 17.4 | 17.9 | 17.9 | 17.9 | 18.8 | 20.3 | **14.8** | **18.0** |
| *of which: grants* | 0.5 | 0.5 | 0.5 | 0.7 | 0.5 | 0.4 | 0.3 | 0.3 | 0.3 | 0.2 | 0.0 | | |
| Primary (noninterest) expenditure | 18.6 | 18.8 | 19.9 | 19.4 | 18.9 | 18.1 | 18.8 | 18.7 | 18.7 | 18.5 | 20.7 | **16.7** | **18.6** |
| **Automatic Debt Dynamics** | **-1.6** | **-0.1** | **-0.6** | **-3.0** | **-2.6** | **-2.4** | **-2.2** | **-2.0** | **-2.1** | **-1.1** | **-0.7** | | |
| Contribution from interest rate/growth differential | 0.6 | -2.9 | -3.8 | -3.0 | -2.6 | -2.4 | -2.2 | -2.0 | -2.1 | -1.1 | -0.7 | | |
| *of which: contribution from average real interest rate* | 1.3 | 0.3 | -0.5 | 0.4 | 1.1 | 1.2 | 1.3 | 1.3 | 1.1 | 1.4 | 1.0 | | |
| *of which: contribution from real GDP growth* | -0.7 | -3.1 | -3.3 | -3.4 | -3.7 | -3.6 | -3.5 | -3.3 | -3.2 | -2.5 | -1.8 | | |
| Contribution from real exchange rate depreciation | -2.2 | 2.8 | 3.2 | ... | ... | ... | ... | ... | ... | ... | ... | | |
| **Other Identified Debt-Creating Flows** | **0.0** | **0.0** | **-0.3** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** | **-0.1** | **0.0** |
| Privatization receipts (negative) | 0.0 | 0.0 | -0.3 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | | |
| Recognition of contingent liabilities (e.g., bank recapitalization) | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | | |
| Debt relief (HIPC and other) | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | | |
| Other debt creating or reducing flow (please specify) | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | | |
| **Residual** | **6.0** | **1.2** | **2.2** | **1.3** | **0.8** | **0.8** | **0.4** | **0.1** | **0.1** | **-0.6** | **-0.4** | **2.3** | **0.0** |
| **Sustainability Indicators** | | | | | | | | | | | | | |
| **PV of public debt-to-GDP ratio 2/** | **...** | **...** | **52.2** | **53.1** | **53.0** | **52.1** | **51.0** | **50.0** | **49.0** | **38.5** | **28.2** | | |
| **PV of public debt-to-revenue and grants ratio** | **...** | **...** | **341.0** | **323.0** | **312.0** | **299.5** | **285.0** | **279.9** | **274.5** | **204.5** | **138.8** | | |
| **Debt service-to-revenue and grants ratio 3/** | **32.4** | **32.8** | **41.5** | **42.8** | **46.8** | **46.9** | **37.1** | **32.6** | **29.4** | **19.0** | **12.5** | | |
| Gross financing need 4/ | 8.4 | 8.1 | 10.6 | 10.0 | 9.8 | 8.9 | 7.5 | 6.6 | 6.1 | 3.3 | 2.9 | | |
| **Key Macroeconomic and Fiscal Assumptions** | | | | | | | | | | | | | |
| Real GDP growth (in percent) | 1.7 | 7.0 | 6.7 | 6.2 | 6.6 | 6.4 | 6.3 | 6.1 | 6.0 | 5.8 | 5.6 | **6.8** | **6.1** |
| Average nominal interest rate on external debt (in percent) | 4.1 | 3.9 | 3.3 | 3.5 | 3.4 | 3.3 | 3.2 | 3.2 | 3.2 | 3.1 | 3.1 | **3.9** | **3.2** |
| Average real interest rate on domestic debt (in percent) | 4.5 | 2.7 | 2.7 | 2.4 | 3.1 | 3.4 | 3.6 | 3.9 | 3.4 | 3.5 | 3.7 | **3.3** | **3.4** |
| Real exchange rate depreciation (in percent, + indicates depreciation) | -7.9 | 9.6 | 11.1 | ... | ... | ... | ... | ... | ... | ... | ... | **3.1** | **...** |
| Inflation rate (GDP deflator, in percent) | 1.6 | 2.7 | 2.8 | 2.7 | 2.1 | 1.9 | 1.7 | 1.5 | 2.0 | 2.0 | 2.0 | **1.9** | **2.0** |
| Growth of real primary spending (deflated by GDP deflator, in percent) | 19.0 | 8.2 | 13.2 | 3.7 | 3.4 | 2.3 | 10.0 | 5.5 | 6.3 | 6.7 | 10.8 | **10.0** | **5.4** |
| Primary deficit that stabilizes the debt-to-GDP ratio 5/ | -4.4 | -1.1 | -1.3 | 1.7 | 1.8 | 1.5 | 1.8 | 1.9 | 1.9 | 1.8 | 1.1 | **-2.3** | **1.9** |
| PV of contingent liabilities (not included in public sector debt) | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | | |

| | |
|---|---|
| **Definition of External/Domestic Debt** | **Currency-Based** |
| **Is there a material difference between the two criteria?** | **Yes** |

**Public Sector Debt 1/**




Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government plus social security, central bank, government-guaranteed debt . Definition of external debt is Currency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

## Table 3. Côte d'Ivoire: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2023–33

(Percent)

| | Projections 1/ | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 | 2031 | 2032 | 2033 |
| **PV of Debt-to GDP Ratio** | | | | | | | | | | | |
| **Baseline** | 30 | 29 | 28 | 27 | 26 | 25 | 24 | 23 | 21 | 20 | 19 |
| **A. Alternative Scenarios** | | | | | | | | | | | |
| A1. Key variables at their historical averages in 2023-2033 2/ | 30 | 27 | 24 | 22 | 20 | 18 | 15 | 13 | 10 | 7 | 5 |
| **B. Bound Tests** | | | | | | | | | | | |
| B1. Real GDP growth | 30 | 30 | 30 | 29 | 28 | 27 | 26 | 24 | 23 | 22 | 21 |
| B2. Primary balance | 30 | 30 | 31 | 30 | 30 | 29 | 28 | 26 | 25 | 23 | 22 |
| B3. Exports | 30 | 33 | 37 | 35 | 35 | 34 | 32 | 30 | 28 | 26 | 25 |
| B4. Other flows 3/ | 30 | 30 | 29 | 28 | 27 | 26 | 25 | 23 | 22 | 21 | 20 |
| B5. Depreciation | 30 | 37 | 32 | 31 | 31 | 30 | 28 | 26 | 25 | 24 | 23 |
| B6. Combination of B1-B5 | 30 | 33 | 31 | 30 | 29 | 28 | 27 | 25 | 23 | 22 | 21 |
| **C. Tailored Tests** | | | | | | | | | | | |
| C1. Combined Contingent Liabilities | 30 | 34 | 34 | 34 | 33 | 32 | 31 | 29 | 27 | 26 | 25 |
| C2. Natural disaster | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. |
| C3. Commodity Price | 30 | 30 | 29 | 28 | 28 | 28 | 26 | 24 | 23 | 22 | 21 |
| C4. Market Financing | 30 | 33 | 32 | 31 | 30 | 30 | 28 | 26 | 24 | 23 | 22 |
| **Threshold** | 40 | 40 | 40 | 40 | 40 | 40 | 40 | 40 | 40 | 40 | 40 |
| **PV of Debt-to-Exports Ratio** | | | | | | | | | | | |
| **Baseline** | 127 | 121 | 114 | 108 | 106 | 103 | 99 | 95 | 91 | 88 | 87 |
| **A. Alternative Scenarios** | | | | | | | | | | | |
| A1. Key variables at their historical averages in 2023-2033 2/ | 127 | 112 | 98 | 88 | 80 | 73 | 63 | 53 | 43 | 33 | 23 |
| **B. Bound Tests** | | | | | | | | | | | |
| B1. Real GDP growth | 127 | 121 | 114 | 108 | 106 | 103 | 99 | 95 | 91 | 88 | 87 |
| B2. Primary balance | 127 | 124 | 126 | 123 | 121 | 119 | 114 | 109 | 105 | 102 | 100 |
| B3. Exports | 127 | 154 | **197** | **188** | **184** | 180 | 173 | 166 | 157 | 150 | 146 |
| B4. Other flows 3/ | 127 | 122 | 117 | 111 | 109 | 106 | 102 | 97 | 93 | 90 | 89 |
| B5. Depreciation | 127 | 121 | 105 | 100 | 98 | 96 | 91 | 87 | 84 | 82 | 81 |
| B6. Combination of B1-B5 | 127 | 143 | 116 | 135 | 132 | 129 | 124 | 118 | 113 | 109 | 108 |
| **C. Tailored Tests** | | | | | | | | | | | |
| C1. Combined Contingent Liabilities | 127 | 140 | 139 | 136 | 134 | 131 | 126 | 122 | 117 | 114 | 113 |
| C2. Natural disaster | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. |
| C3. Commodity Price | 127 | 123 | 119 | 115 | 114 | 112 | 107 | 103 | 98 | 95 | 94 |
| C4. Market Financing | 127 | 123 | 118 | 112 | 110 | 107 | 103 | 98 | 94 | 91 | 90 |
| **Threshold** | 180 | 180 | 180 | 180 | 180 | 180 | 180 | 180 | 180 | 180 | 180 |
| **Debt Service-to-Exports Ratio** | | | | | | | | | | | |
| **Baseline** | 12 | 15 | 14 | 12 | 11 | 11 | 13 | 14 | 13 | 12 | 10 |
| **A. Alternative Scenarios** | | | | | | | | | | | |
| A1. Key variables at their historical averages in 2023-2033 2/ | 12 | **15** | 14 | 12 | 10 | 11 | 12 | 12 | 11 | 10 | 7 |
| **B. Bound Tests** | | | | | | | | | | | |
| B1. Real GDP growth | 12 | 15 | 14 | 12 | 11 | 11 | 13 | 14 | 13 | 12 | 10 |
| B2. Primary balance | 12 | 15 | 15 | 13 | 11 | 12 | 14 | 14 | 15 | 14 | 12 |
| B3. Exports | 12 | **17** | **20** | **18** | **16** | **17** | **19** | **20** | **22** | **20** | **18** |
| B4. Other flows 3/ | 12 | 15 | 14 | 12 | 11 | 11 | 13 | 14 | 14 | 13 | 11 |
| B5. Depreciation | 12 | 15 | 14 | 12 | 10 | 11 | 13 | 13 | 13 | 12 | 10 |
| B6. Combination of B1-B5 | 12 | **16** | **18** | **15** | 13 | 14 | **16** | **17** | **17** | **15** | 13 |
| **C. Tailored Tests** | | | | | | | | | | | |
| C1. Combined Contingent Liabilities | 12 | 15 | **15** | 13 | 11 | 12 | 14 | 14 | 14 | 13 | 11 |
| C2. Natural disaster | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. |
| C3. Commodity Price | 12 | **15** | 15 | 13 | 11 | 12 | 14 | 14 | 14 | 13 | 11 |
| C4. Market Financing | 12 | 15 | 15 | 13 | 11 | 12 | **15** | **15** | **15** | 12 | 11 |
| **Threshold** | 15 | 15 | 15 | 15 | 15 | 15 | 15 | 15 | 15 | 15 | 15 |
| **Debt Service-to-Revenue Ratio** | | | | | | | | | | | |
| **Baseline** | 18 | **22** | **21** | 17 | 15 | 16 | 17 | 17 | 17 | 15 | 13 |
| **A. Alternative Scenarios** | | | | | | | | | | | |
| A1. Key variables at their historical averages in 2023-2033 2/ | 18 | **22** | **20** | 17 | 14 | 15 | 16 | 16 | 14 | 12 | 9 |
| **B. Bound Tests** | | | | | | | | | | | |
| B1. Real GDP growth | 18 | **23** | **22** | **19** | 16 | 17 | **19** | **19** | **18** | 16 | 14 |
| B2. Primary balance | 18 | **22** | **21** | **18** | 16 | 17 | **18** | **19** | **18** | 17 | 14 |
| B3. Exports | 18 | **22** | **22** | **19** | 17 | 18 | **19** | **20** | **21** | **19** | 16 |
| B4. Other flows 3/ | 18 | **22** | **21** | 17 | 15 | 16 | 17 | 18 | 17 | 15 | 13 |
| B5. Depreciation | 18 | **28** | **26** | **21** | **18** | **19** | **21** | **22** | **20** | 18 | 15 |
| B6. Combination of B1-B5 | 18 | **23** | **23** | **19** | 16 | 17 | **19** | **20** | **19** | 17 | 14 |
| **C. Tailored Tests** | | | | | | | | | | | |
| C1. Combined Contingent Liabilities | 18 | **22** | **22** | **19** | 16 | 17 | **19** | **19** | 18 | 16 | 14 |
| C2. Natural disaster | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. |
| C3. Commodity Price | 18 | **25** | **24** | **20** | 17 | 18 | **19** | **19** | **18** | 16 | 14 |
| C4. Market Financing | 18 | **22** | **21** | 18 | 16 | 16 | **20** | **20** | **19** | 15 | 13 |
| **Threshold** | 18 | 18 | 18 | 18 | 18 | 18 | 18 | 18 | 18 | 18 | 18 |

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

## Table 4. Côte d'Ivoire: Sensitivity Analysis for Key Indicators of Public Debt, 2023–33

(Percent)

| | Projections 1/ | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 | 2031 | 2032 | 2033 |
| **PV of Debt-to-GDP Ratio** | | | | | | | | | | | |
| **Baseline** | 53 | 53 | 52 | 51 | 50 | 49 | 47 | 45 | 43 | 40 | 39 |
| **A. Alternative Scenarios** | | | | | | | | | | | |
| A1. Key variables at their historical averages in 2023-2033 2/ | 53 | 53 | 53 | 53 | 52 | 52 | 51 | 50 | 50 | 49 | 48 |
| **B. Bound Tests** | | | | | | | | | | | |
| B1. Real GDP growth | 53 | **56** | **58** | **58** | **58** | **58** | **57** | **55** | 54 | 53 | 52 |
| B2. Primary balance | 53 | 54 | **57** | **55** | 54 | 53 | 51 | 49 | 46 | 44 | 42 |
| B3. Exports | 53 | **56** | **60** | **59** | **58** | **56** | 54 | 52 | 49 | 46 | 43 |
| B4. Other flows 3/ | 53 | 53 | 53 | 52 | 51 | 50 | 48 | 46 | 43 | 41 | 39 |
| B5. Depreciation | 53 | **59** | **56** | 53 | 51 | 49 | 45 | 42 | 38 | 35 | 32 |
| B6. Combination of B1-B5 | 53 | 52 | 53 | 52 | 51 | 49 | 47 | 45 | 42 | 40 | 37 |
| **C. Tailored Tests** | | | | | | | | | | | |
| C1. Combined Contingent Liabilities | 53 | **61** | **60** | **59** | **57** | **56** | 54 | 52 | 49 | 47 | 45 |
| C2. Natural disaster | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. |
| C3. Commodity Price | 53 | **56** | **58** | **61** | **62** | **63** | **63** | **61** | **59** | **58** | **57** |
| C4. Market Financing | 53 | 54 | 53 | 52 | 51 | 50 | 48 | 46 | 43 | 41 | 39 |
| **TOTAL Public Debt Benchmark** | 55 | 55 | 55 | 55 | 55 | 55 | 55 | 55 | 55 | 55 | 55 |
| **PV of Debt-to-Revenue Ratio** | | | | | | | | | | | |
| **Baseline** | 323 | 312 | 299 | 285 | 280 | 274 | 254 | 240 | 227 | 215 | 204 |
| **A. Alternative Scenarios** | | | | | | | | | | | |
| A1. Key variables at their historical averages in 2023-2033 2/ | 323 | 313 | 306 | 294 | 292 | 290 | 275 | 269 | 265 | 260 | 257 |
| **B. Bound Tests** | | | | | | | | | | | |
| B1. Real GDP growth | 323 | 327 | 332 | 323 | 323 | 324 | 306 | 296 | 287 | 279 | 273 |
| B2. Primary balance | 323 | 320 | 325 | 309 | 303 | 297 | 275 | 259 | 246 | 233 | 222 |
| B3. Exports | 323 | 329 | 346 | 329 | 323 | 316 | 293 | 276 | 260 | 244 | 230 |
| B4. Other flows 3/ | 323 | 314 | 304 | 289 | 284 | 278 | 258 | 243 | 230 | 217 | 207 |
| B5. Depreciation | 323 | 348 | 324 | 299 | 285 | 272 | 244 | 224 | 204 | 186 | 171 |
| B6. Combination of B1-B5 | 323 | 307 | 308 | 291 | 284 | 277 | 255 | 239 | 224 | 211 | 199 |
| **C. Tailored Tests** | | | | | | | | | | | |
| C1. Combined Contingent Liabilities | 323 | 362 | 345 | 327 | 321 | 314 | 291 | 275 | 261 | 248 | 236 |
| C2. Natural disaster | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. |
| C3. Commodity Price | 323 | 371 | 377 | 379 | 379 | 375 | 347 | 327 | 317 | 307 | 300 |
| C4. Market Financing | 323 | 315 | 305 | 290 | 286 | 280 | 259 | 244 | 231 | 218 | 208 |
| **Debt Service-to-Revenue Ratio** | | | | | | | | | | | |
| **Baseline** | 43 | 47 | 47 | 37 | 33 | 29 | 29 | 26 | 25 | 22 | 19 |
| **A. Alternative Scenarios** | | | | | | | | | | | |
| A1. Key variables at their historical averages in 2023-2033 2/ | 43 | 47 | 47 | 40 | 36 | 33 | 33 | 32 | 33 | 32 | 30 |
| **B. Bound Tests** | | | | | | | | | | | |
| B1. Real GDP growth | 43 | 49 | 52 | 44 | 40 | 37 | 37 | 35 | 34 | 32 | 29 |
| B2. Primary balance | 43 | 47 | 51 | 45 | 37 | 32 | 31 | 28 | 27 | 25 | 22 |
| B3. Exports | 43 | 47 | 47 | 39 | 34 | 31 | 30 | 29 | 29 | 26 | 22 |
| B4. Other flows 3/ | 43 | 47 | 47 | 37 | 33 | 30 | 29 | 27 | 25 | 22 | 19 |
| B5. Depreciation | 43 | 47 | 51 | 40 | 35 | 33 | 33 | 30 | 29 | 25 | 21 |
| B6. Combination of B1-B5 | 43 | 45 | 47 | 41 | 34 | 29 | 29 | 26 | 25 | 22 | 19 |
| **C. Tailored Tests** | | | | | | | | | | | |
| C1. Combined Contingent Liabilities | 43 | 47 | 70 | 47 | 38 | 33 | 32 | 29 | 27 | 24 | 21 |
| C2. Natural disaster | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. |
| C3. Commodity Price | 43 | 53 | 61 | 55 | 51 | 47 | 44 | 39 | 38 | 35 | 33 |
| C4. Market Financing | 43 | 47 | 47 | 38 | 33 | 30 | 32 | 29 | 27 | 22 | 19 |

Sources: Country authorities; and staff estimates and projections.

1/ A bold value indicates a breach of the benchmark.

2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.

3/ Includes official and private transfers and FDI.